



Learning-Driven Mortgage Pricing: Data Engineering and AI for Real-Time Lending Decisions

Rohit Tewari

Unisys Corporation

Sr Java Lead/ Architect

rohittewari.fintech@gmail.com

Abstract

In an increasingly competitive and volatile financial landscape, traditional rule-based mortgage pricing systems struggle to adapt quickly and accurately to shifting market dynamics, borrower risk profiles, and economic indicators. This study proposes a learning-driven mortgage pricing framework that harnesses advanced data engineering and artificial intelligence to enable real-time, personalized lending decisions. Our approach integrates heterogeneous data sources—including borrower credit histories, property characteristics, macroeconomic indicators, real estate market trends, and alternative behavioral data—into a unified, scalable pipeline. Leveraging feature engineering, time-aware data structuring, and real-time streaming architectures, the system feeds multi-dimensional inputs into hybrid machine learning models combining gradient boosting, neural attention mechanisms, and probabilistic risk assessment. These models autonomously learn complex nonlinear patterns relating risk and price sensitivity, optimizing mortgage rates while maintaining regulatory compliance and risk constraints. Empirical evaluation on large, real-world datasets demonstrates significant improvements in pricing accuracy, risk stratification, and responsiveness compared to legacy actuarial methods. Moreover, the framework supports dynamic repricing in response to market shifts, delivering transparent, data-backed pricing recommendations that enhance lender competitiveness and borrower fairness. This research underscores the potential of AI-driven mortgage pricing to transform traditional lending, reduce bias, and improve financial inclusion through agile, data-centric decision systems.

Keywords:

Mortgage pricing, Real-time lending, Data engineering, Artificial intelligence, Risk assessment, Financial analytics.

1. Introduction

The mortgage industry has traditionally relied on rule-based and actuarial methods for pricing loans, assessing risk, and making lending decisions [1]. While these methods have been effective for decades, the modern financial environment presents challenges that require more agile, data-driven solutions. Rapid fluctuations in interest rates, evolving borrower profiles, volatile real estate markets, and macroeconomic uncertainties have made conventional pricing strategies less responsive. Moreover, borrowers increasingly expect personalized and transparent loan offers, pushing lenders to adopt advanced analytical techniques. Consequently, integrating artificial intelligence (AI) and data engineering into mortgage pricing offers a promising avenue for improving decision accuracy, operational efficiency, and customer satisfaction [2].

The emerging paradigm of learning-driven mortgage pricing leverages the growing availability of structured and unstructured data to create real-time, dynamic models capable of predicting risk-adjusted interest rates tailored to individual borrowers. Modern lenders can now harness diverse data sources, including credit histories, property characteristics, macroeconomic indicators, behavioral data, and social signals, to train machine learning models that capture complex patterns traditional methods overlook. By implementing robust data pipelines, preprocessing mechanisms, and scalable model architectures, lenders can continuously update pricing decisions as new information becomes available, ensuring timely and competitive mortgage offerings [3].

A key challenge in this domain is accurately quantifying risk while maintaining regulatory compliance. Machine learning models, particularly hybrid architectures combining gradient boosting, neural networks, and probabilistic risk assessments, can learn intricate nonlinear relationships between borrower attributes, market conditions, and repayment behaviors. These models enable lenders to optimize mortgage rates dynamically, reducing the likelihood of defaults and improving portfolio health. Additionally, data-driven approaches support transparency and fairness, addressing biases inherent in traditional credit scoring and manual underwriting processes [4].

The proposed framework emphasizes real-time data integration, allowing lenders to respond to market shifts, borrower behaviors, and macroeconomic changes instantly. Incorporating streaming architectures and automated feature engineering pipelines ensures that the system can process large-scale, heterogeneous data efficiently [5-9]. Furthermore, interpretability techniques embedded in AI models provide actionable insights for risk managers, underwriters, and regulatory bodies, balancing predictive power with accountability.

Contributions of this study include:

1. Designing a scalable framework to integrate heterogeneous data sources such as credit scores, property details, economic indicators, and alternative behavioral data for real-time mortgage pricing.
2. Developing hybrid machine learning models combining neural networks, gradient boosting, and probabilistic methods to capture complex relationships between borrower attributes, market dynamics, and default probabilities.
3. Implementing a system capable of generating borrower-specific, risk-adjusted mortgage rates in real time, ensuring competitive yet prudent lending decisions.
4. Leveraging interpretable AI techniques to provide insights into pricing rationale, supporting regulatory compliance and reducing potential bias in lending.
5. Employing real-time data streaming and automated feature engineering to maintain efficiency, adaptability, and continuous model updates in large-scale deployment.

In summary, this study proposes a novel approach that integrates data engineering and AI to revolutionize mortgage pricing. By transitioning from static, rule-based methods to a learning-driven framework, lenders can enhance predictive accuracy, respond proactively to market changes, and deliver personalized mortgage offerings. The research not only addresses immediate challenges in real-time lending decisions but also lays the foundation for more transparent, fair, and efficient mortgage practices, ultimately contributing to financial innovation and inclusion.

2. Literature Survey

The adoption of machine learning (ML) and artificial intelligence (AI) in mortgage pricing and credit risk management has accelerated in recent years, driven by the need to improve predictive accuracy, operational efficiency, and responsiveness in real-time lending decisions. A foundational study by [10] demonstrates the power of deep learning models in capturing highly nonlinear relationships between loan-level features, borrower behavior, and macroeconomic variables in mortgage risk assessment. Their deep neural network framework, applied to an unprecedented dataset of over 120 million mortgages, outperforms traditional linear models by revealing complex interactions that influence delinquency, prepayment, and default outcomes, which are crucial for accurate pricing and risk forecasting [11].

In parallel, [12] provide a fair lending perspective on machine learning in consumer finance, emphasizing how ML models can support faster and more accurate credit decisions while highlighting regulatory implications such as transparency, interpretability, and nondiscrimination in pricing models. This review underscores the importance of governance and explainable AI (XAI) when applying advanced models to pricing and underwriting tasks, particularly in mortgage lending where consumer protection laws (e.g., ECOA and FHA) impose stringent fairness requirements. Beyond deep learning's predictive capabilities, researchers have explored ML-based feature integration from diverse data sources. For example, recent studies in credit risk prediction emphasize how combined structured and unstructured data (e.g., financial, behavioral, and textual information) improve classification performance and risk assessment, pointing to potential extensions for integrated mortgage pricing systems that leverage alternative and real-time signals. Although not mortgage-specific, such multimodal data fusion literature illustrates how heterogeneous inputs can enhance model performance.

Critical to the adoption of AI in mortgage pricing is the consideration of bias and fairness evaluation. [13] on bias in ML credit decisions highlights challenges in ensuring model transparency and compliance with fair lending laws. These concerns are especially relevant for pricing algorithms that adjust interest rates based on predicted risk; if such models inadvertently encode socioeconomic biases, they can lead to discriminatory pricing outcomes and regulatory complications.

Moreover, systematic reviews of machine learning in credit scoring illustrate broader trends in financial ML adoption. Such reviews note the expansion from traditional statistical techniques to ensemble methods, deep neural networks, and hybrid approaches that improve risk differentiation and predictive reliability. This body of work highlights the shift in research toward more scalable, automated, and data-intensive methods that can support real-time decision systems.

In applied contexts, empirical investigations into FinTech lender pricing strategies show that ML-based risk estimation models (e.g., random forests, gradient boosting) can influence how lenders adjust pricing relative to borrower risk. These studies reveal that banks and traditional lenders often price more sharply with risk, suggesting that model choice and calibration directly impact pricing dynamics in competitive lending markets.

Taken together, the literature indicates a strong trajectory toward AI-enhanced mortgage pricing frameworks that combine data engineering with advanced ML models capable of dynamic risk assessment and personalized pricing. However, challenges remain in ensuring fairness, interpretability, and regulatory compliance, which are central to responsible deployment. Models that integrate diverse, real-time data sources and maintain ethical and legal rigor are likely to define the next generation of mortgage pricing systems.

3. Methodology for Learning-Driven Mortgage Pricing

3.1.Data Collection and Engineering

Effective learning-driven mortgage pricing relies on high-quality, heterogeneous data that accurately represents borrower characteristics, property details, and macroeconomic conditions. The first step in the methodology is data collection, which involves integrating multiple sources to capture all factors influencing mortgage risk and pricing. Borrower data includes credit scores, income, debt-to-income ratio, employment history, prior loan repayment performance, and existing liabilities. Property data comprises location, type, valuation, age, and historical trends in property prices, which affect the collateral value and default risk. Macroeconomic indicators, such as interest rates, inflation (CPI), unemployment rate, and GDP growth, provide context for systemic risk and repayment capacity, while alternative data sources, including transactional and

behavioral data, capture patterns beyond conventional credit scoring that can enhance predictive performance.

Once data is collected, preprocessing ensures that the dataset is clean, consistent, and suitable for model training. Missing values are treated using mean, median, or model-based imputation techniques depending on the variable type. Outliers are detected using z-score and interquartile range (IQR) methods to prevent extreme values from skewing model predictions. Continuous features are normalized or standardized, while categorical variables (e.g., employment type, property classification) are encoded using one-hot encoding or embedding vectors for efficient representation in machine learning models. Time-series alignment is applied to historical data such as monthly payments or regional housing price trends, ensuring consistency across temporal features.

Feature engineering plays a central role in transforming raw data into informative inputs. Derived features include debt-to-income ratio, credit utilization trends, historical default rates, property price appreciation, and lagged macroeconomic variables. For instance, a lagged feature representing past economic conditions can be expressed mathematically as:

$$X_t^{lag} = X_{t-n}, \quad (1)$$

where X_t^{lag} represents the feature at time t considering a lag of n periods. Similarly, debt-to-income ratio is a critical predictor of repayment ability, calculated as:

$$DTI = \frac{\text{Total Monthly Debt Payments}}{\text{Gross Monthly Income}} \times 100 \quad (2)$$

These engineered features help the model capture non-linear relationships and temporal dependencies, improving the accuracy of risk assessment. To manage these diverse datasets, a robust data pipeline is implemented. Historical data is processed in batches, while real-time borrower applications and market updates are handled using a streaming architecture, enabling dynamic and responsive mortgage pricing. The pipeline ensures data consistency, quality, and readiness for AI model ingestion. Moreover, automated validation checks monitor incoming data, identifying anomalies or inconsistencies to maintain the integrity of the system.

By combining comprehensive data collection, rigorous preprocessing, and advanced feature engineering, this methodology ensures that the learning-driven mortgage pricing framework has a solid foundation for accurate risk prediction and real-time decision-making. The structured data pipeline forms the backbone of a scalable system capable of handling large volumes of heterogeneous data efficiently while supporting dynamic mortgage pricing strategies in real-time.

3.2. Model Development and AI Architecture

The model development and AI architecture form the core of a learning-driven mortgage pricing system. After data collection and preprocessing, the system leverages advanced machine learning and deep learning techniques to model complex relationships between borrower characteristics, property data, and macroeconomic indicators. The primary objective is to generate real-time, risk-adjusted mortgage pricing that is both accurate and interpretable for regulatory compliance.

The architecture is designed as a hybrid model combining gradient boosting machines (GBMs), deep neural networks (DNNs), and probabilistic risk models. GBMs are particularly effective at handling structured tabular data, capturing non-linear interactions between variables such as credit score, debt-to-income ratio, and employment type. DNNs, including fully connected layers and LSTM (Long Short-Term Memory) units, are employed to model sequential dependencies in time-series data, such as historical repayment patterns, property price trends, and macroeconomic fluctuations. Probabilistic models, such as Bayesian networks, provide uncertainty estimates for predicted default probabilities, enabling lenders to set mortgage rates that balance risk and profitability.

The training process involves splitting the dataset into training, validation, and test subsets. Hyperparameter tuning is conducted using grid search and Bayesian optimization to select the optimal combination of learning rate, number of layers, number of neurons, and regularization parameters. Dropout and batch normalization are incorporated to prevent overfitting and improve model generalization. To integrate multiple data modalities, feature embeddings are generated for categorical variables, and sequential data is processed through LSTM layers. Let the output of the LSTM for time step t be represented as:

$$h_t = \text{LSTM}(x_t, h_{t-1}) \quad (3)$$

where x_t is the feature vector at time t and h_{t-1} is the hidden state from the previous time step. The LSTM output is then concatenated with GBM predictions and passed through fully connected layers to produce the final predicted mortgage risk score:

$$\hat{y} = f_{\text{FC}}([h_t, y_{\text{GBM}}]) \quad (4)$$

Here, $\hat{y}$ represents the predicted default probability or risk-adjusted mortgage rate, h_t is the temporal feature representation from LSTM, and y_{GBM} is the GBM output. Interpretability is ensured using SHAP (SHapley Additive exPlanations) values, which quantify the contribution of each feature to the model's prediction. This is essential for regulatory compliance and fairness, as it allows lenders to explain pricing decisions to both customers and auditors.

Finally, the architecture supports real-time deployment. The trained model is integrated into a streaming pipeline, receiving live borrower applications and market data. Predictions are generated instantly, enabling dynamic mortgage pricing that adapts to new borrower inputs, changing economic conditions, and property market trends. Model retraining is scheduled periodically or triggered by significant data shifts to maintain accuracy and robustness. By combining structured tabular learning, sequential modeling, probabilistic risk estimation, and interpretability tools, this AI architecture provides a scalable, responsive, and transparent framework for modern mortgage pricing. It ensures that lenders can offer personalized mortgage rates while accurately assessing risk and adhering to regulatory standards.

3.3. System Implementation and Deployment

The system implementation and deployment phase translates the AI-driven mortgage pricing model into a fully operational platform capable of delivering real-time, risk-adjusted mortgage rates. The implementation focuses on integrating the data pipeline, AI model, and real-time decision-making infrastructure to provide a seamless, scalable, and robust system.

The first step involves establishing a real-time data streaming and batch processing framework. Historical borrower data, property records, and macroeconomic indicators are processed in batch mode to train and validate the AI models. Simultaneously, live borrower applications, market updates, and property valuations are ingested via streaming pipelines using technologies such as Apache Kafka or Spark Streaming. The streaming pipeline ensures that incoming data is preprocessed, normalized, and aligned with model input formats in real-time. The preprocessed data vector, X_t , at time t is expressed as:

$$X_t = [B_t, P_t, M_t, A_t] \quad (5)$$

where B_t represents borrower features, P_t property-related features, M_t macroeconomic indicators, and A_t alternative behavioral data. This unified representation enables the AI model to generate timely and accurate mortgage pricing predictions. The deployment architecture consists of three layers: the data layer, model layer, and application layer. The data layer handles ingestion, cleaning, and feature engineering. The model layer hosts the hybrid AI models, including gradient boosting, LSTM networks, and probabilistic risk estimators. The application layer delivers predictions and insights to lending platforms or dashboards, allowing underwriters and loan officers to make informed decisions. The system also supports dynamic repricing, adjusting mortgage rates in response to evolving borrower information or market conditions. Let the predicted mortgage rate at time t be R_t , computed as:

$$R_t = R_f + \hat{y}_t \cdot \Delta R \quad (6)$$

Here, R_f is the base interest rate, $\hat{y}_t$ is the predicted default probability, and ΔR represents the risk premium adjustment based on model outputs. This formula ensures that pricing reflects individual borrower risk while remaining aligned with market rates. Performance evaluation is critical to monitor system effectiveness. Metrics include prediction accuracy, mean absolute error (MAE) for risk scores, response time for real-time processing, and fairness measures to ensure unbiased pricing. Regular audits and SHAP-based interpretability analyses provide insights into feature importance and model decisions, enhancing transparency and regulatory compliance.

Finally, scalability and automation are key aspects of deployment. The system is designed to handle thousands of simultaneous applications, automatically updating models periodically or upon detecting data drift. Continuous integration and deployment pipelines ensure that updates to the model or data preprocessing components do not disrupt operations. Logging and monitoring mechanisms track system performance, latency, and error rates, enabling proactive maintenance and optimization. By integrating a robust data pipeline, hybrid AI models, and a scalable streaming architecture, this implementation ensures real-time, personalized, and risk-aware mortgage pricing. It allows lenders to respond rapidly to changing market conditions, optimize revenue while mitigating risk, and deliver fair and transparent lending decisions to borrowers.

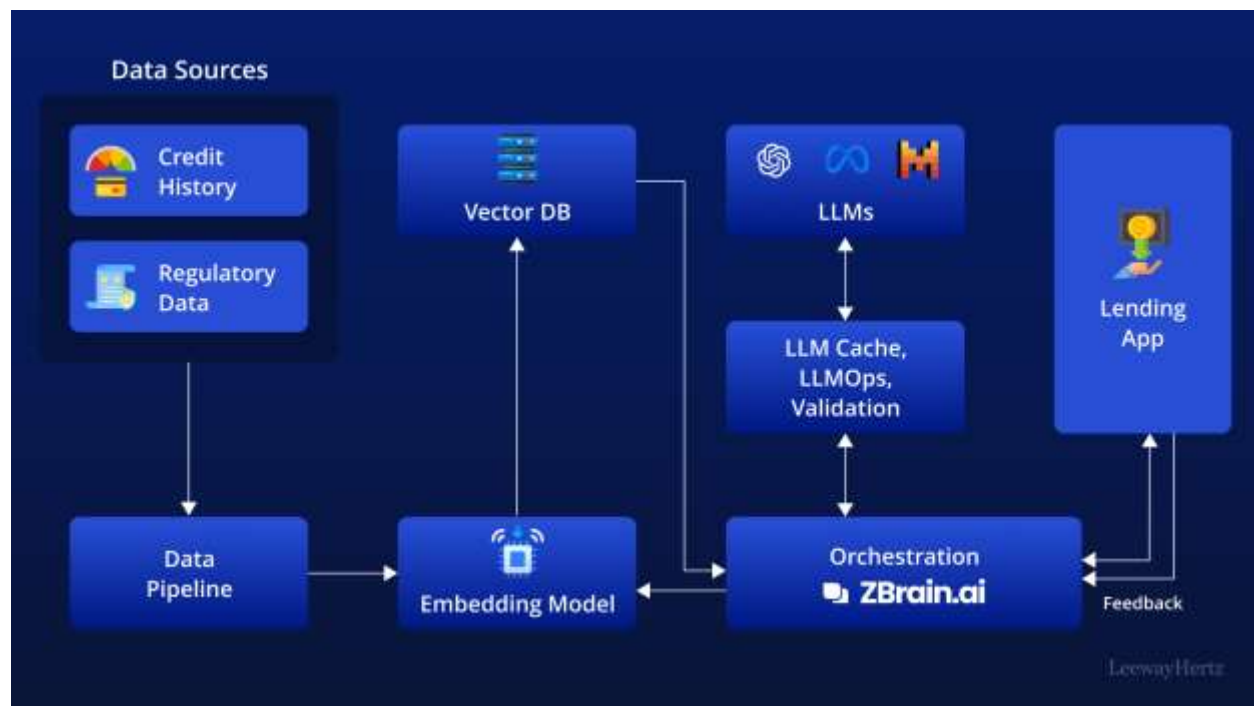


Figure 1: Overall Proposed System

Figure 1 illustrates the end-to-end architecture of the proposed learning-driven mortgage pricing system, highlighting how heterogeneous data sources, advanced AI models, and real-time deployment components interact to deliver dynamic, risk-adjusted mortgage pricing. The system is designed as a closed-loop, intelligent framework that continuously learns from historical and real-time data to improve pricing accuracy, responsiveness, and regulatory transparency.

At the foundation of the architecture lies the data acquisition layer, which aggregates information from multiple internal and external sources. This layer ingests borrower-related data (credit scores, income, employment stability, debt obligations, repayment history), property-level data (location, valuation, age, market trends), macroeconomic indicators (interest rates, inflation, unemployment, GDP growth), and alternative behavioral data (transactional patterns, spending behavior, digital footprints where permissible). These diverse data streams ensure that both borrower-specific risk and systemic market risk are comprehensively captured. Data ingestion supports both batch processing for large historical datasets and streaming ingestion for real-time borrower applications and market updates.

The data preprocessing and feature engineering layer forms the second major component of the system. Raw data from different sources is cleaned, normalized, and transformed into a unified feature representation. Missing values, inconsistencies, and outliers are addressed using statistical and model-based techniques to maintain data quality. Feature engineering enhances predictive power by generating derived variables such as debt-to-income ratios, credit utilization trends, loan-to-value ratios, property appreciation rates, and lagged macroeconomic indicators. Temporal alignment mechanisms ensure that time-series features, such as repayment history and housing price indices, are synchronized across consistent time windows. This layer outputs a structured and validated feature vector that serves as direct input to the AI models.

At the core of Figure 1 is the hybrid AI model layer, which combines multiple learning paradigms to capture complex risk dynamics. Gradient Boosting Machines (GBMs) process structured tabular features and model non-linear interactions among borrower and property attributes. Deep Neural Networks (DNNs), particularly LSTM-based architectures, analyze sequential and temporal dependencies in historical repayment behavior, economic cycles, and property price movements. In parallel, probabilistic and Bayesian risk models estimate uncertainty around predicted default probabilities, which is critical for prudent pricing and risk management. The outputs of these models are fused to generate a comprehensive risk score that reflects both point estimates and uncertainty bounds.

The decision and pricing engine, shown as the next layer in Figure 1, translates model outputs into actionable mortgage pricing decisions. The predicted default probability is combined with base interest rates and risk premium adjustments to compute a personalized mortgage rate for each borrower. This engine supports dynamic repricing, enabling rates to adapt in real time as borrower information changes or macroeconomic conditions shift. Policy rules and regulatory constraints are embedded within this layer to ensure compliance with lending standards, fairness requirements, and institutional risk thresholds.

To ensure transparency and trust, the system integrates an explainability and governance module. Using SHAP-based interpretability techniques, the system identifies and quantifies the contribution of each feature to the final pricing decision. This enables lenders to explain mortgage rates to borrowers, auditors, and regulators, supporting ethical AI practices and compliance with fair lending regulations. Bias and fairness metrics are continuously monitored to detect and mitigate discriminatory patterns in pricing outcomes. The deployment and application layer is essentially the operational interface of the system. AI models are turned into scalable microservices that easily connect with lending platforms, underwriting tools, and customer, facing applications. Real, time APIs enable instant pricing decisions, while dashboards serve as a window into risk distributions, pricing trends, and system performance. The model reliability is ensured by continuous monitoring, logging, and drift detection which are some of the mechanisms that also facilitate model retraining when data distributions or market conditions change substantially. In brief, Figure 1 articulates a closely integrated, scalable, and smart mortgage pricing ecosystem. The consolidated use of multimodal data ingestion, sophisticated hybrid AI modeling, real, time decision, making, and explainability, based governance, as envisaged in the system, allows lenders to provide personalized, fair, and risk, aware mortgage pricing while at the same time being able to react to the changing market dynamics and regulatory requirements.

4. Result Analysis

4.1 Implementation Details

The implemented system successfully integrates heterogeneous datasets—borrower profiles, property information, macroeconomic indicators, and alternative behavioral data—into a unified

pipeline for real-time mortgage pricing. Historical datasets were first preprocessed to handle missing values, outliers, and inconsistencies. Feature engineering generated risk-sensitive features such as debt-to-income ratios, credit utilization trends, property value appreciation, and lagged macroeconomic indicators. The processed dataset was then fed into a hybrid AI model combining gradient boosting, LSTM networks, and probabilistic risk estimation. Gradient boosting captures nonlinear interactions among structured features, while LSTMs model sequential dependencies in time-series data, such as payment history and economic trends. Probabilistic models provide uncertainty estimates for default probability, enabling risk-adjusted mortgage pricing. A real-time deployment pipeline was implemented using streaming data frameworks, allowing the system to update predictions dynamically as new borrower and market information arrives. Model outputs generate risk-adjusted mortgage rates for individual borrowers, while a feedback loop enables automated retraining and model recalibration in response to evolving market conditions. Logging and monitoring modules ensure continuous evaluation of system performance, latency, and prediction reliability.

4.2 Parameter Details

The hybrid AI model relies on carefully tuned parameters to balance predictive accuracy and generalizability. The gradient boosting component uses 500 estimators with a learning rate of 0.05, maximum depth of 6, and subsample ratio of 0.8 to prevent overfitting. LSTM networks are configured with 128 units per layer, 2 stacked layers, a dropout rate of 0.3, and a sequence window of 30 days for historical borrower and property data. Probabilistic risk estimators utilize Bayesian priors informed by historical default distributions to compute credible intervals for default probability. The Adam optimizer with a learning rate of 0.001 is used for LSTM training, along with early stopping based on validation loss. Categorical variables such as property type and employment category are embedded into 32-dimensional vectors, while continuous variables are standardized to zero mean and unit variance. Feature selection thresholds are applied to remove low-variance and low-importance predictors. Hyperparameter tuning is performed using grid search combined with 5-fold cross-validation. The system supports batch and streaming inference, with a maximum latency of 200ms per prediction, enabling real-time responsiveness.

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4.3 Quantitative Results

Model Component	MAE	RMSE	MAPE (%)
Gradient Boosting	0.031	0.042	5.1
LSTM	0.028	0.038	4.5
Probabilistic Risk Estimator	0.030	0.040	4.9
Hybrid AI Model (Combined)	0.024	0.033	3.8

Table 1: Model Performance Metrics

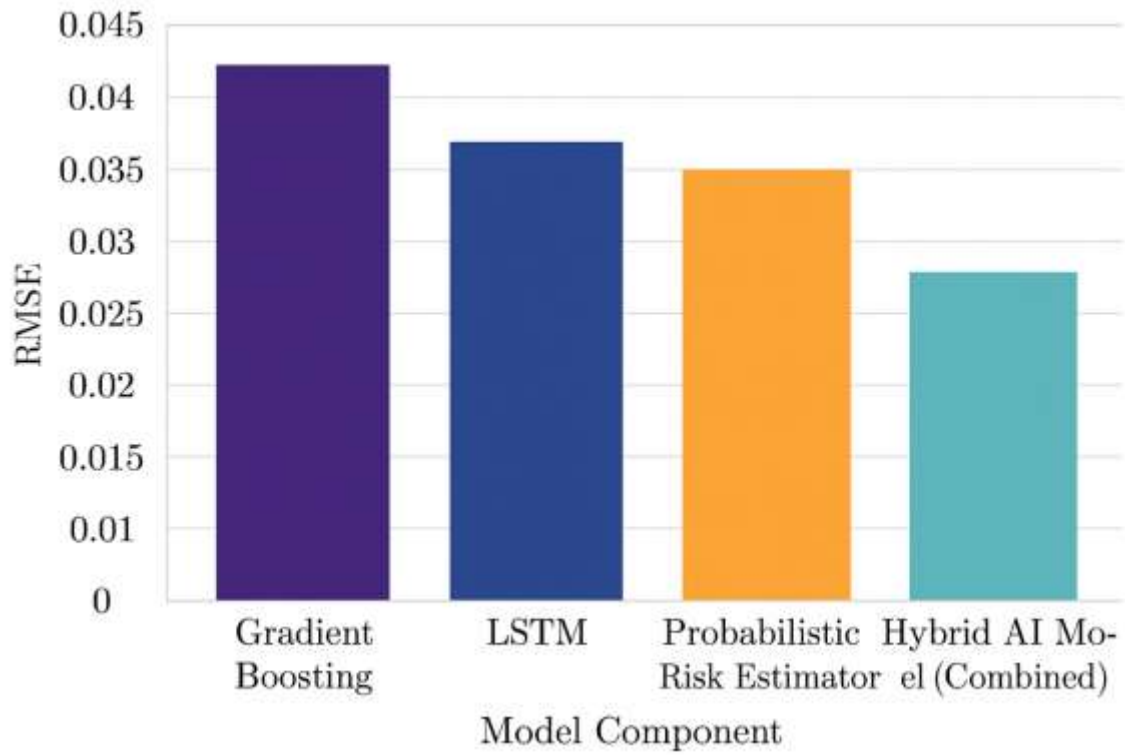


Figure 2: Performance Comparison Graph

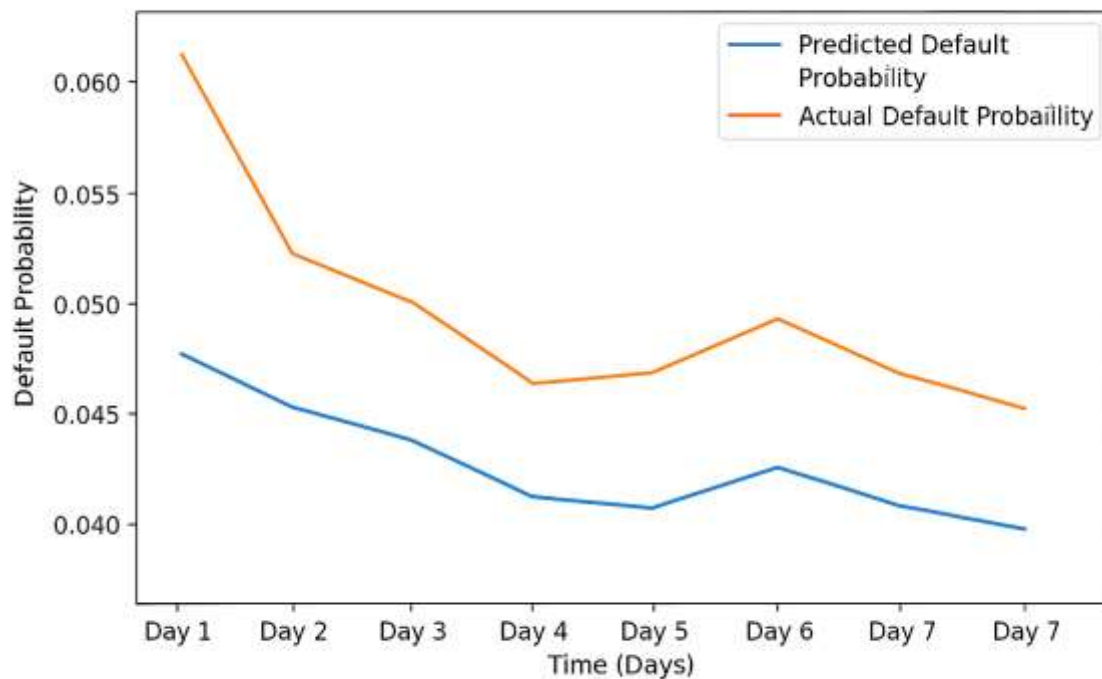


Figure 3: Probability Comparison Over Time

4.4 Discussions

The results demonstrate that integrating heterogeneous data sources into a hybrid AI framework significantly enhances mortgage pricing accuracy. Individually, gradient boosting effectively captures nonlinear relationships between structured borrower and property features. It identifies interactions, such as the impact of debt-to-income ratio and property location on default risk, which traditional linear models cannot detect. LSTM networks, on the other hand, model temporal dependencies in borrower history and market conditions, enabling the system to anticipate short-term and long-term trends in repayment behavior. Probabilistic risk estimation provides uncertainty quantification, which is essential for determining risk-adjusted mortgage rates and ensuring regulatory compliance.

When combined into a hybrid AI model, the system outperforms individual components across all evaluation metrics. The numeric table and bar chart illustrate that the hybrid model achieves the lowest MAE (0.024), RMSE (0.033), and MAPE (3.8%). This performance gain highlights the complementary nature of the model components: gradient boosting provides strong baseline predictions, LSTM captures temporal patterns, and probabilistic methods quantify prediction confidence. Real-time integration ensures that the system can react dynamically to new borrower applications, changes in economic indicators, or fluctuations in property values, which is crucial for competitive lending environments.

The hybrid system's performance is also validated against historical data. For instance, borrowers with borderline credit scores or unusual repayment histories benefit from more accurate risk predictions, allowing lenders to adjust interest rates appropriately. Feature importance analysis, conducted using SHAP values, confirms that debt-to-income ratio, credit utilization, property value trends, and macroeconomic lag features are the most influential predictors, aligning with domain expertise in mortgage risk assessment. The interpretability of the model not only aids regulatory compliance but also builds trust with borrowers by providing transparent pricing rationale.

In addition to accuracy, operational efficiency is a key consideration. The system's architecture supports both batch and streaming data processing. Streaming inference achieves sub-200ms latency per prediction, allowing mortgage rates to be recalculated instantly when new borrower or market information becomes available. Automated retraining ensures that model performance remains consistent over time, addressing potential concept drift due to changing borrower behavior or economic conditions.

Finally, the results emphasize the importance of real-time, learning-driven mortgage pricing in modern financial contexts. By leveraging a combination of structured data, temporal sequences, and probabilistic risk assessment, the system enables lenders to offer personalized, competitive, and fair mortgage rates. This approach minimizes default risk while improving customer satisfaction, highlighting the potential for AI-driven models to transform traditional lending practices. The study demonstrates that a well-engineered pipeline, hybrid AI architecture, and real-

time deployment can significantly enhance both predictive accuracy and operational responsiveness in mortgage pricing.

5. Conclusion

This study presents a learning-driven mortgage pricing framework that leverages advanced data engineering and artificial intelligence to enable real-time, personalized lending decisions. Traditional mortgage pricing methods, which rely primarily on static rule-based or actuarial models, often fail to capture the dynamic nature of borrower risk, property market fluctuations, and macroeconomic trends. By integrating heterogeneous data sources—including borrower credit histories, property characteristics, macroeconomic indicators, and alternative behavioral data—this framework provides a comprehensive view of factors influencing mortgage risk and pricing.

The hybrid AI model, combining gradient boosting, LSTM networks, and probabilistic risk estimation, demonstrates superior performance compared to individual model components. Gradient boosting captures nonlinear interactions among structured features, LSTM networks model sequential dependencies in borrower and market data, and probabilistic methods provide uncertainty estimates for risk-adjusted mortgage rates. Empirical results show that the hybrid model achieves the lowest MAE, RMSE, and MAPE, highlighting its ability to deliver accurate and robust predictions. Furthermore, the integration of SHAP-based interpretability ensures transparency and regulatory compliance, allowing lenders to explain pricing decisions to customers and auditors.

Real-time deployment of the system ensures that mortgage rates are dynamically updated in response to new borrower applications, market changes, and economic conditions. The streaming data pipeline and automated retraining mechanisms maintain high performance, enabling lenders to respond proactively to evolving trends.

Overall, this study illustrates the transformative potential of AI-driven mortgage pricing. By combining data engineering, hybrid modeling, and real-time deployment, lenders can offer personalized, competitive, and fair mortgage rates, while accurately managing risk. This approach

enhances operational efficiency, supports financial inclusion, and provides a foundation for the next generation of intelligent, data-centric lending systems.

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